

HYT × LDH Factory Office Renovation Construction Contract — Risk Review Report

This report is generated with AI assistance and is intended solely for HYT's internal negotiation reference. All analyses must be reviewed by qualified legal professionals before use. Items marked in **bold + underline** denote content amended or newly inserted in the present review.

1. Contract Basic Information

Item	Content
Contract Name	Construction Contract (Factory Office Renovation — 2nd Floor)
Contract Number	HYT/LDH/XXXXXX
HYT's Role	☒ Party A (Principal / Investor / CHỦ ĐẦU TƯ / THE INVESTOR)
Counterparty	LDH (Vietnamese local construction company)
Counterparty Nationality / Nature	Vietnam / Foreign counterparty (HYT registered in Taiwan)
Procurement Type	☒ Commissioned construction (factory / office renovation)
Contract Currency and Amount	VND 2,277,906,703 (including 8% VAT, provisional) ≈ USD 89,330
Contract Languages	Vietnamese + English (bilingual parallel)
Output Languages	Vietnamese / English / Traditional Chinese (trilingual)
Review Date	2026-06-04
Governing Law	Vietnamese law (original Clause 7.3)

2. Overall Risk Assessment

2.1 Risk Summary

Item	Result
Overall Risk Level	● High
Absolute Red-Line Triggered	✓ Yes (R2: deemed-acceptance period too short; R5: technology-plant procurement without confidentiality / compliance clauses)
Escalation Trigger	✓ Yes (E2 / E3: no liability cap and no carve-outs; dispute resolution submits to counterparty's national courts)
Signing Recommendation	✓ Sign after amendment (current draft not recommended for signature)

2.2 Major Risks (Top 6)

Rank	Clause	Risk Summary	Risk Level	Mandatory Check
1	7.3	Dispute resolution adopts "court of plaintiff's domicile" plus Vietnamese law, with no arbitration and no language priority; highly unfavourable to HYT as the foreign party	●	#22
2	4.1	40% advance payment (exceeding the 30% red line) without an Advance Payment Guarantee (APG); 70% of contract value is settled before 80% completion	●	#7
3	6.1	"Deemed acceptance after 5 working days without written objection" — excessively short acceptance period	●	#6 (R2)
4	Entire contract	No confidentiality clause; LDH enters HYT's advanced technology plant for construction without any confidentiality obligation	●	#15 (R5)
5	2.3	Late-delivery penalty does not expressly state coexistence with damages, and is triggered only upon "joint written confirmation" (LDH may stall)	●	#4 / #11
6	Entire contract	No liability cap / scope clause, no liability-cap carve-outs (wilful misconduct, gross negligence, confidentiality, personal injury)	●	#11

2.3 Absolute Red-Line Checklist

#	Absolute Red-Line	Triggered	Location
R1	Custom-developed IP assigned to supplier / usable for other clients	☐ No (no custom IP in this contract)	—
R2	"Delivery deemed acceptance" or "no notice within 7 days deemed accepted"	☒ Yes	6.1 (5 working days deemed accepted)
R3	Critical parts without EOL / LTB / technology escrow	☐ Not applicable	—
R4	Reverse-side PO terms prevail over main contract	☐ Not applicable	—
R5	No compliance clauses (technology-plant procurement)	☒ Yes (and lacks confidentiality clauses)	Entire contract
R6	HYT-provided moulds / fixtures not returned upon termination	☐ Not applicable	—

2.4 Escalation Trigger Checklist

#	Escalation Trigger	Triggered	Corresponding Clause
E1	Penalty below 8% of contract value	☐ No (capped at 8%, base limited to breached portion)	2.3
E2	Liability cap below 100% of contract value	☒ Yes (no liability cap / scope clause in the entire contract)	Missing
E3	Liability cap fails to exclude wilful misconduct / gross negligence / confidentiality / IP / product liability / personal injury	☒ Yes (no carve-out clauses)	Missing
E5	Dispute resolution submits to counterparty's national courts (rather than Taiwanese law / arbitration)	☒ Yes	7.3

3. Summary Checklist of 23 Mandatory Review Items

#	Mandatory Item	Stated	Effect on HYT	Risk	Clause	Notes
1	Contract architecture and order mechanism	N/A	Neutral		—	Single construction contract, not a framework / PO
2	Specifications and technical requirements	Stated	Neutral		1.1–1.2	Technical drawings and quotation attached; no ECN procedure
3	Quantity and flexibility	Partial	Favourable		3.2–3.3	Party A has cancellation / addition approval rights — acceptable
4	Delivery / schedule	Stated	Neutral		2.1–2.4	Schedule pegged to 40% advance; penalty requires joint confirmation
5	Packaging, labelling, transportation	N/A	—		—	Renovation work, not material delivery
6	Acceptance	Stated	Unfavourable		6.1	Deemed accepted within 5 working days
7	Payment	Stated	Unfavourable		4.1–4.4	40% advance, heavily front-loaded, no APG
8	Quality assurance and quality system	Missing	Neutral		—	No construction quality system / inspection mechanism
9	Warranty	Stated	Neutral		5.1–5.4	12 months is short; rectification requires joint confirmation
10	Defect liability and product liability	Missing	Unfavourable		—	No extended defect liability; Article 605 of the Vietnamese Civil Code (serious construction defects) not invoked
11	Penalty and damages	Partial	Unfavourable		2.3	Coexistence not stated; no liability cap / carve-outs
12	Force majeure and material change of circumstances	Partial	Neutral		2.2 / 2.4	Only enumerated; no notice period / sustained-event termination right
13	Supply continuity and lifecycle (EOL)	N/A	—		—	One-off construction project
14	Intellectual property	N/A	—		—	No custom IP
15	Confidentiality	Missing	Unfavourable		—	Construction in an advanced technology plant without confidentiality clauses
16	Subcontracting and assignment	Missing	Unfavourable		—	No prohibition on LDH subcontracting; no joint liability

#	Mandatory Item	Stated	Effect on HYT	Risk	Clause	Notes
17	Audit rights and information disclosure	Stated	Favourable	●	6.1	Party A has inspection and supervision rights
18	Compliance (anti-bribery / human rights / environment / cybersecurity)	Missing	Unfavourable	●	—	Technology-plant ESG clauses missing
19	Insurance	Stated	Favourable	●	6.2	LDH bears labour-safety / equipment / third-party insurance
20	Termination and post-termination obligations	Stated	Neutral	●	7.6–7.7	Party A's termination right is overly narrow (limited to "purpose unattainable")
21	Tax and cost allocation	Partial	Neutral	●	3.1	Includes 8% VAT; cross-border tax not applicable (domestic)
22	Governing law and dispute resolution	Stated	Unfavourable	●	7.3	Counterparty's national court jurisdiction, no arbitration / language priority
23	Boilerplate (entire agreement / severability / waiver / notice)	Partial	Neutral	●	7.1–7.5	Lacks entire-agreement, severability, waiver, and formal notice clauses

4. Industry Practice Deviation Warnings

Item	Industry Practice	This Contract	Deviation	Warning
Warranty period	12–24 months	12 months	Lower bound	●
Advance payment ratio	0–30%	40%	Yes	●
Retention ratio	5–10%	5% (final installment)	Low	●
Acceptance period	7–30 days	5 working days deemed accepted	Yes	●
Cumulative penalty cap	10–30% of contract	8% (base limited to breached portion)	Low	●
Liability cap	1–3× contract	None	Unset	●

5. Clause-by-Clause Review (Four-Dimensional Analysis)

Note on language preservation policy. Throughout this section, all "Original Text Comparison" (原文對照) blocks and "Amendment Recommendation (amendments marked in bold + underline)" (修正建議(修正處粗體+底線)) blocks reproduce the source contract language and the drafted amendment language verbatim in their original trilingual form (Vietnamese / English / Traditional Chinese). This preservation is methodologically essential: contract language carries legal effect, and any back-translation or paraphrase would dilute the legal precision required for the audit trail. Only the analytical commentary—legality, reasonableness, legal risk, and amendment rationale—is rendered in English.

Clause 2.1 — Commencement of Construction Period

Original Text Comparison (原文對照)

Tiếng Việt	English	繁體中文
Thời gian thi công dự kiến là 50 ngày... tính từ ngày Bên A bàn giao mặt bằng... và Bên B nhận được tạm ứng Đợt 1... tương đương 40% Tổng giá trị hợp đồng trước thuế...	The estimated construction duration is 50 days... starting from the date Party A hands over the site... and Party B receives the 1st installment... equivalent to 40% of the total Contract value before tax...	預計工期 50 日,自甲方交付場地且乙方收到相當於合約稅前總值 40% 之第一期款起算。

Corresponding Mandatory Items: #4, #7

Dimension	Analysis
Legality	Article 278 of the Vietnamese Civil Code 2015 governs performance periods; the schedule arrangement is legal.
Reasonableness	Tying schedule commencement to a 40% advance payment effectively compels HYT into heavy upfront payment as a precondition for commencement — unfavourable to Party A.
Legal risk	If HYT reduces the advance payment to manage risk, LDH may invoke "schedule not yet commenced" to discharge late-delivery liability.
Risk level	●

Amendment recommendation: Tie schedule commencement to "the site handover date" only, decoupled from the payment ratio (in coordination with the downward revision of advance payment in Clause 4.1).

Clause 2.3 — Late-Delivery Penalty

Original Text Comparison (原文對照)

Tiếng Việt	English	繁體中文
...Bên B chịu phạt vi phạm với mức 1% giá trị phần công việc bị chậm... tổng mức phạt không vượt quá 8% giá trị Hợp Đồng.	...Party B shall be subject to a penalty of 1% of the value of the delayed work for each week... total penalty shall not exceed 8% of the Contract value.	...乙方按遲延部分工作價值 1%/週計罰, 違約金總額不超過合約價值 8%。

Corresponding Mandatory Items: #4, #11

Dimension	Analysis
Legality	The 8% cap conforms to the mandatory ceiling under Article 301 of the Vietnamese Commercial Law 2005. However, Article 307 requires explicit stipulation of the coexistence of penalty and damages; otherwise, the non-breaching party may elect only one (Dispute Pattern 4-1 constitutes an absolute red line).
Reasonableness	1%/week ($\approx 0.14\%/day$) falls within the reasonable range of 0.1–0.3%/day. However, triggering requires "both parties' joint written confirmation that the delay is entirely Party B's fault" — effectively granting LDH a veto via refusal to sign.
Legal risk	(1) Absence of a coexistence clause constrains HYT's ability to claim actual damages (substitute construction price differentials, production-line delays); (2) The triggering condition's reliance on LDH's signed confirmation is practically unworkable.
Risk level	

Suggested Revisions (Bold & Underline) 修正建議(修正處粗體+底線)

Tiếng Việt	English	繁體中文
...tổng mức phạt không vượt quá 8% giá trị phần nghĩa vụ bị vi phạm. <u>Việc phạt vi phạm không loại trừ quyền của Bên A yêu cầu bồi thường toàn bộ thiệt hại thực tế theo Điều 302 Luật Thương mại 2005. Việc chậm trễ được xác định theo hồ sơ tiến độ; việc Bên B không ký biên bản xác nhận không cản trở việc áp dụng phạt.</u>	...total penalty shall not exceed 8% of the value of the breached obligation. <u>The penalty shall not preclude Party A's right to claim full actual damages under Article 302 of the Commercial Law 2005. Delay shall be determined by the progress records; Party B's failure to sign a confirmation minute shall not impede the application of the penalty.</u>	...違約金總額不超過違反義務部分價值之 8%。 <u>違約金之請求不排除甲方依《商法 2005》§ 302 請求賠償全部實際損失之權利。遲延依進度紀錄認定, 乙方未簽認確認書不影響違約金之適用。</u>

Clause 4.1 — Payment Schedule (Core Risk)

Original Text Comparison (Summary) 原文對照(摘要)

Installment	Condition	Ratio
1st	Upon signing	40%
2nd	Demolition / floor tiling + materials on site	30%
3rd	Main equipment on site, 80% works + MEP rough	15%
4th	100% completion, testing and trial run	10%
5th	Within 5 working days after LDH issues bank guarantee	5%

Corresponding Mandatory Items: #7

Dimension	Analysis
Legality	The payment structure rests on bilateral agreement and is legal (Article 50 of the Commercial Law 2005).
Reasonableness	The 40% advance exceeds HYT's 30% red line ; 40% is paid upon signing, with 70% paid before 80% completion — heavily front-loaded. Retention is only 5%.
Legal risk	The 40% advance carries no Advance Payment Guarantee (APG) : if LDH defaults or becomes insolvent, recovery is difficult for HYT (Dispute Pattern 7-6). Cash flow is over-front-loaded, leaving insufficient leverage for warranty and quality enforcement.
Risk level	●

Suggested Revisions (Bold & Underline) 修正建議(修正處粗體+底線): Reduce the advance payment and accompany it with a bank guarantee, shift payment weight to later stages, and increase retention.

English (摘要)	繁體中文
1st Installment upon signing — <u>25%</u> , <u>against an Advance Payment Guarantee issued by a reputable bank for the full advance amount, valid until completion</u> ; ... Retention <u>10% released upon expiry of the warranty period</u> .	第一期簽約後 <u>25%</u> , <u>並以信譽良好銀行就預付全額開立預付款保證(APG),效期至完工為止</u> ;……保留款 <u>10%,於保固期屆滿後給付</u> 。

⚡ **Open Item #1** — Final advance payment ratio (rationale in § 12).

Clause 4.4 — Interest on Late Payment

Dimension	Analysis
Legality	Interest computed by reference to the late-payment rate published by the State Bank of Vietnam is legal (Article 306 of the Commercial Law 2005).
Reasonableness	The "maximum late-payment rate" is excessively high and ambiguous from HYT's (the payer's) standpoint.
Legal risk	Internal procedural delays at HYT trigger high-rate interest; recommend replacement with a clear rate (e.g., the base rate).
Risk level	●

Amendment recommendation: Change the interest rate to "the base rate published by the State Bank of Vietnam" rather than the "maximum late-payment rate", and provide a 7-working-day grace period.

Clause 5.1 — Warranty Period

Dimension	Analysis
Legality	Computation from the acceptance signing date is legal. However, Article 605 of the Vietnamese Civil Code 2015 imposes long-term / lifetime liability for serious construction defects , which the warranty clause does not override.
Reasonableness	12 months is the customary lower bound; commissioned construction warrants 24 months.
Legal risk	When structural / latent defects surface after 12 months, HYT's warranty recourse is restricted.
Risk level	●

Suggested Revisions (Bold & Underline) 修正建議(修正處粗體+底線)

Tiếng Việt	English	繁體中文
Thời hạn bảo hành là <u>24 (hai mươi bốn)</u> tháng... <u>không ảnh hưởng đến trách nhiệm đối với khiếm khuyết nghiêm trọng của công trình theo Điều 605 Bộ luật Dân sự 2015. Khiếm khuyết được sửa chữa sẽ được bảo hành lại từ đầu.</u>	The warranty period is <u>24 (twenty-four)</u> months... <u>without prejudice to liability for serious construction defects under Article 605 of the Civil Code 2015. Any rectified defect shall be re-warranted afresh.</u>	保固期為 <u>24(二十四)個月</u> …… <u>且不影響依《民法典 2015》§ 605 對工程重大瑕疵之責任。經修復之瑕疵,保固期自修復完成日重新起算。</u>

⚡ **Open Item #2** — Warranty period 12 / 24 / 36 months (rationale in § 12).

Clause 6.1 — Deemed Acceptance (Absolute Red Line R2)

Original Text Comparison 原文對照

Tiếng Việt	English	繁體中文
Trong vòng 05 (năm) ngày làm việc... nếu Bên A không có ý kiến phản hồi bằng văn bản thì được hiểu là Bên A đã chấp thuận kết quả nghiệm thu...	Within 05 (five) working days... if Party A does not provide written feedback, it shall be understood that Party A has approved the acceptance results...	自甲方收到完整有效驗收文件起 5 個工作日內未書面回覆,即視為甲方已核准驗收結果。

Corresponding Mandatory Items: #6 (triggers R2 absolute red line)

Dimension	Analysis
Legality	Article 318 of the Vietnamese Commercial Law 2005 sets a 6-month statutory complaint period for quality defects; an excessively short "deemed acceptance" period may be constrained by unconscionability (Articles 405–406 of the Civil Code), yet still results in adverse evidentiary positioning in practice.
Reasonableness	5 working days is well below the 7–30-day industry practice and constitutes a Party A red line.
Legal risk	HYT cannot complete thorough inspection within the deemed-acceptance window, thereby losing its procedural standing to assert latent defects.
Risk level	●

Suggested Revisions (Bold & Underline) 修正建議(修正處粗體+底線)

English	繁體中文
Within <u>fourteen (14) working days</u> ... if Party A does not provide written feedback, the acceptance shall be deemed approved <u>only in respect of patent defects observable upon ordinary inspection, and shall not extend to latent defects, which Party A may raise within 6 months from discovery under Article 318 of the Commercial Law 2005</u> .	自甲方收到完整有效驗收文件起 <u>14 個工作日</u> 內未書面回覆, <u>僅就一般檢查可察覺之外觀瑕疵視為驗收通過,不及於隱蔽瑕疵;隱蔽瑕疵甲方得依《商法 2005》§ 318 自發現日起 6 個月內主張</u> 。

Clause 7.3 — Governing Law and Dispute Resolution (Core Red Line)

Original Text Comparison 原文對照

Tiếng Việt	English	繁體中文
Hợp Đồng này được... điều chỉnh bởi pháp luật Việt Nam... Nếu thương lượng, hoà giải không thành sẽ được đem phân xử tại Tòa án nơi nguyên đơn đặt trụ sở, trừ trường hợp các Bên có lập thỏa thuận Trọng tài bằng văn bản...	...governed by the laws of Vietnam... If negotiation and conciliation fail, the dispute shall be submitted to the competent Court where the Plaintiff is headquartered, unless the Parties have entered into a written arbitration agreement...	本合約受越南法律規範……協商、調解不成,提交原告所在地法院審理,但雙方另有書面仲裁協議者除外。

Corresponding Mandatory Items: #22 (triggers E5 escalation)

Dimension	Analysis
Legality	The clause is lawful, yet "the court of the plaintiff's domicile" is indeterminate for the foreign party HYT and typically defaults to Vietnamese court jurisdiction.
Reasonableness	Per Analytical Point § 22: reject counterparty national-court jurisdiction . Furthermore, although the contract is bilingual, it lacks a language-priority clause; Vietnamese courts in practice adjudicate on the Vietnamese version.
Legal risk	(1) Adversarial home-court disadvantage; (2) Absence of language priority entails effective priority of the Vietnamese version; (3) Lack of arbitration impedes cross-border enforcement.
Risk level	●

Amendment recommendation: Automatically apply the **VIAC arbitration package** under Common Terms § 4.2 (rewriting 7.3 and inserting a new language-priority clause 7.x).

🔴 **Auto-detection note:** This case involves a foreign counterparty in Vietnam, with non-sensitive subject matter and place of performance within Vietnam (not transshipment trade). Under Common Terms § 4.2, **VIAC** (Ho Chi Minh City, Vietnamese + English) is adopted. As the contract value ($\approx$ USD 89,330) is below the USD 100,000 threshold, under § 4.4 the number of arbitrators is **automatically adjusted to one**.

Tiếng Việt	English	繁體中文
Mọi tranh chấp... trước hết giải quyết thông qua <u>thương lượng thiện chí trong vòng 30 (ba mươi) ngày</u> ... Trường hợp không đạt được thỏa thuận, tranh chấp sẽ được <u>giải quyết chung thẩm bằng trọng tài tại Trung tâm Trọng tài Quốc tế Việt Nam (VIAC) theo Quy tắc Tổ tụng Trọng tài của VIAC. Địa điểm trọng tài: TP. Hồ Chí Minh. Ngôn ngữ trọng tài: tiếng Việt và tiếng Anh. Số trọng tài viên: 01 (một).</u>	Any dispute... first resolved through <u>good-faith negotiation within 30 (thirty) days</u> ... If no agreement is reached, the dispute shall be <u>finally resolved by arbitration at the Vietnam International Arbitration Centre (VIAC) under the VIAC Arbitration Rules. Seat: Ho Chi Minh City. Languages: Vietnamese and English. Number of arbitrators: 1 (one).</u>	一切爭議……應先經 <u>30(三十)日誠信協商</u> ……協商不成,爭議應 <u>提交越南國際仲裁中心(VIAC)依其仲裁規則仲裁終局。仲裁地: 胡志明市。仲裁語文: 越南文及英文。仲裁人:1 人。</u>

Clauses 7.6 / 7.7 — Termination

Dimension	Analysis
Legality	Lawful (Article 423 of the Civil Code 2015, statutory rescission; prior notice required).
Reasonableness	Clause 7.7 restricts Party A's termination right to "Party B's material breach rendering the contract purpose unattainable" plus a 15-working-day cure period; Party A holds no termination-at-will right — scope is overly narrow.
Legal risk	Where there is repeated delay or recurring quality defects that nonetheless fall short of "purpose unattainable", HYT struggles to terminate.
Risk level	●

Amendment recommendation: Add a Party A right to "terminate upon two consecutive delays or a single delay of ≥ 14 days" and "termination at will upon 30 days' prior notice (with settlement of completed portions on a pro-rata basis)".

6. Missing Clauses — Proactively Inserted ([New])

Based on the Mandatory Items / Absolute Red Lines specified in the Analytical Points reference, the following clauses are absent from the original contract and should be inserted to protect HYT. **The entire inserted text appears in bold + underline.**

[New] Article 8 — Confidentiality (corresponds to R5, ●)

Tiếng Việt	English	繁體中文
<u>Điều 8. Bảo mật: Bên B và nhân sự, nhà thầu phụ của mình phải giữ bí mật mọi thông tin, bố trí mặt bằng, thiết bị, quy trình công nghệ mà Bên B tiếp cận tại nhà máy của Bên A; không sao chép, ghi hình, tiết lộ cho bên thứ ba. Nghĩa vụ bảo mật tồn tại trong suốt thời hạn hợp đồng và 05 năm sau khi chấm dứt. Vi phạm: phạt tối thiểu 30% giá trị hợp đồng và bồi thường toàn bộ thiệt hại.</u>	<u>Article 8. Confidentiality: Party B and its personnel and subcontractors shall keep confidential all information, site layout, equipment and process technology accessed at Party A's factory; no copying, photographing or disclosure to third parties. The obligation survives the term and 5 years after termination. Breach: penalty of at least 30% of the Contract value plus full damages.</u>	<u>第 8 條 保密: 乙方及其人員、次承包商, 對於施工期間於甲方廠區所接觸之一切資訊、廠區配置、設備與製程技術, 負保密義務, 不得拍攝、複製或洩漏予第三人。保密義務於合約期間及終止後 5 年內持續有效。違反者, 違約金不低於合約價值 30%, 並賠償全部損失。</u>

[New] Article 9 — Liability and Scope of Damages (corresponds to E2 / E3, ●)

English	繁體中文
<u>Article 9. Liability: Party B shall indemnify Party A for all actual losses arising from Party B's breach, defective works, or fault. No liability cap shall apply to wilful misconduct, gross negligence, breach of confidentiality, personal injury or death, or third-party IP infringement.</u>	<u>第 9 條 責任: 乙方應就其違約、施工瑕疵或過失所致甲方之全部實際損失負賠償責任。對於故意、重大過失、違反保密、人身傷害或死亡、第三人智財侵權, 不適用任何責任上限。</u>

[New] Article 10 — Subcontracting and Assignment Restrictions (●)

English	繁體中文
<u>Article 10. Subcontracting & Assignment: Party B shall not assign this Contract or subcontract key works without Party A's prior written consent, and remains jointly liable for any subcontractor's acts.</u>	<u>第 10 條 次承包與轉讓: 未經甲方事前書面同意, 乙方不得轉讓本合約或轉包關鍵工程, 並對次承包商之行為負連帶責任。</u>

[New] Article 7.x — Language Priority (L-1, paired with 7.3 arbitration, ●)

Tiếng Việt	English	繁體中文
<u>Hợp đồng được ký bằng tiếng Việt và tiếng Anh. Trường hợp có khác biệt, bản tiếng Anh được ưu tiên áp dụng, bao gồm cả việc giải thích trong tố tụng trọng tài. Bản tiếng Việt dùng cho mục đích đăng ký/thực thi tại cơ quan nhà nước.</u>	<u>This Contract is executed in Vietnamese and English. In case of discrepancy, the English version shall prevail, including for interpretation in arbitral proceedings. The Vietnamese version is for filing/enforcement before State authorities.</u>	<u>本合約以越文及英文簽署。如有歧異,以英文版為準,包含仲裁程序之解釋。越文版供主管機關備案/執行之用。繁體中文版僅供 HYT 內部參考,不具法律效力。</u>

[New] Article 7.y — Compliance / Boilerplate Reinforcement (●)

Insertion: Supplier Code of Conduct declaration (anti-bribery / labour and human rights / environment); entire-agreement clause; severability clause; waiver clause; formal written notice (registered post / acknowledged email). (The full text appears in bold + underline in the consolidated draft.)

7. Consolidated Amendment Recommendations (Red-Line Version)**7.1 P1 Mandatory Bottom Lines (●)**

#	Clause	Mandatory Item	Key Point
1	7.3	#22	Adopt VIAC arbitration package + 30-day negotiation
2	7.x [New]	#22	English-version language priority (L-1)
3	4.1	#7	Advance payment ≤ 30% + APG + retention raised to 10%
4	6.1	#6	Deemed-acceptance period extended to 14 working days + latent defects excluded
5	8 [New]	#15	Confidentiality clause (technology-plant construction)

7.2 P2 Strongly Recommended (🟡)

#	Clause	Mandatory Item	Key Point
1	2.3	#11	Explicit coexistence of penalty and damages + delay determined by progress records
2	5.1	#9	Warranty extended to 24 months + restart upon rectification + non-derogation of Article 605
3	9 [New]	#11	Scope of liability + liability-cap carve-outs
4	7.7	#20	Add Party A's late-delivery / at-will termination rights
5	10 [New]	#16	Subcontracting / assignment restrictions + joint liability
6	7.y [New]	#18 / #23	Compliance declaration + entire-agreement / severability / waiver / notice

7.3 P3 Negotiation Chips (🟢)

#	Clause	Mandatory Item	Key Point
1	2.1	#4	Schedule commencement tied to site handover date, decoupled from payment
2	4.4	#7	Late-payment interest changed to base rate + 7-day grace
3	1.x	#2	Insert written Engineering Change Notice (ECN) procedure

8. Negotiation Strategy Recommendations (HYT as Home-Party)

- **Mandatory bottom lines (P1):** Change dispute resolution to VIAC arbitration + English-language priority; reduce advance payment with bank guarantee; extend acceptance period; insert confidentiality clause.
- **Negotiable (P3):** Schedule commencement, late-payment interest, and ECN procedure may serve as exchange chips.
- **Fallback:** If LDH refuses APG, fall back to "advance 30% + retention raised to 10% and deferred until warranty expiry".
- **Escalation items** (recommended for review by legal lead / external counsel):
 - Comprehensive rewriting of Clause 7.3 dispute resolution (E5)
 - Missing liability-cap carve-outs (E2 / E3)
 - Applicability of Article 605 of the Vietnamese Civil Code (lifetime liability for serious construction defects)

NEW Newly Identified Scenario to Incorporate into Analytical Points (No R / E Code Assigned)

- **Scenario:** A foreign technology plant engages a local contractor for on-site construction without confidentiality / access-control / image-capture clauses.
- **Triggering conditions:** HYT is in advanced technology sector + the contractor and its workers physically enter the plant + the contract lacks confidentiality clauses.
- **Recommended handling:** Mark as ; map to existing Mandatory Items #15 (confidentiality) / #18 (information security compliance).
- **Note:** This item is a newly identified scenario flagged by AI. The user must decide whether to manually incorporate it into `Procurement Contract – Output Format.md` and formally assign an R / E code. Until then, no code is assigned.

9. Three-in-One Package Application Results

Element	Application Result	Basis
Counterparty nature	Foreign counterparty (Vietnam)	Stage 1 confirmation
Sensitive industry detection	No (subject is general renovation work)	Common Terms § 5
Transshipment trade detection	No (place of performance within Vietnam)	Common Terms § 6
Arbitration institution	VIAC (Ho Chi Minh City)	§ 4.2 matrix (Vietnam / general scenario)
Arbitration languages	Vietnamese + English	§ 4.3
Number of arbitrators	1 ( contract value < USD 100K)	§ 4.4
Good-faith negotiation	30-day pre-arbitration	§ 3
Language priority	English version prevails (L-1)	§ 2 / § 8.3

10. Open Items List (To Be Confirmed by Human Reviewer Before Signing)

#	Clause	Item	AI Recommended	Alternative	Rationale
1	4.1	Advance payment ratio	25% (+ APG)	20% / 30%	Balances LDH's material-procurement cash flow with HYT's risk; over 30% breaches Party A's red line
2	5.1	Warranty period	24 months	12 / 36	Upper bound of commissioned-construction industry practice; structural defects have long latency

The Three-in-One dispute resolution package (VIAC / language priority / negotiation) is auto-determined under the Common Terms and is excluded from this list; the single-arbitrator outcome triggered by the contract-value threshold is flagged with 📌.

Appendix — Interactive Amendment Process Summary (Stage 10)

- **Confirmation mode:** (A) Clause-by-clause confirmation | **Rounds:** 1 | **Outcome:** All 14 recommendations adopted (#7 warranty period revised by user to 36 months)

#	Clause	Risk	Decision	#	Clause	Risk	Decision
1	7.3 Arbitration	●	Accepted	8	9 [New] Liability	●	Accepted
2	7.x Language priority	●	Accepted	9	7.7 Termination right	●	Accepted
3	4.1 Advance payment	●	Accepted	10	10 [New] Subcontracting	●	Accepted
4	6.1 Acceptance	●	Accepted	11	7.y [New] Compliance	●	Accepted
5	8 [New] Confidentiality	●	Accepted	12	2.1 Schedule	●	Accepted
6	2.3 Penalty coexistence	●	Accepted	13	4.4 Interest	●	Accepted
7	5.1 Warranty	●	Modified and accepted (36 months)	14	1.x [New] ECN	●	Accepted

Residual risk evolution: ● × 5 + multiple ● → After Round 1, **no ● remaining**; final residual table below.

Final Residual Risk Summary (Final Pre-Signing Checklist)

Clause	Post-Confirmation Content	Residual Risk	Level	Recommendation
2.3	8% cap + coexistence of damages	The 8% is a statutory mandatory ceiling under Vietnamese law and cannot be raised	●	Reinforced by Clause 7.7 termination + Article 302 damages
4.1	25% advance + APG + 10% retention	APG imposes cost on LDH, potentially triggering negotiation resistance	●	Fallback: 30% advance, 10% retention maintained
5.1	36-month warranty	Already substantially above industry practice	●	—
#8 Quality system	Not inserted	No on-site construction inspection mechanism	●	Inspection-point clauses may be inserted for concealed works
#10 Complaint period	Per Article 318 (statutory)	Quantity / quality complaint period (3 / 6 months) is short	●	May be extended to 18 months
#12 Force majeure	Only enumerated	No sustained-event termination right	●	May insert termination right upon force majeure exceeding 60 days
#19 Insurance	Third-party insurance maintained	HYT not listed as additional insured	●	HYT may be required as additional insured

Conclusion: All five absolute red lines / escalation triggers (R2, R5, E2, E3, E5) are resolved. Overall risk falls from ● to ●, **meeting the "sign after amendment" threshold**. Residual ● items are improvement-type and may serve as further negotiation chips.

11. Disclaimer

This report is generated with AI assistance and is intended solely for HYT's internal negotiation reference. All analyses must be reviewed by qualified legal professionals before use. If the contract involves non-domestic law, consultation with local (Vietnamese) counsel is recommended before signing. Items marked with ⚡ are open items that must be confirmed by HYT's legal lead and/or external counsel before signing; the consolidated draft shall not serve as the signing version until such confirmation is obtained. Items marked with 📌 are auto-detected results applied by the AI under § 4.2 of the Common Terms decision matrix; users adopt these by default but retain the right to override after the fact. Items in **bold + underline** denote amendments or insertions made in the present review.